

## FEDERAL MARITIME COMMISSION

TAYLORS RESOURCES, INC.  
(USA) d/b/a BRIDGEWATER  
LANDING, INC. (USA),

*Complainant,*

v.

mitsui o.s.k. lines ltd.,

*Respondent.*

Docket No. 1954(F)

Served: April 4, 2018

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**BY THE COMMISSION:** Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE and Daniel B. MAFFEI, *Commissioners*.

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### **ORDER DENYING MOTION TO VACATE**

Complainant, Taylor Resources, Inc. (USA) d/b/a/ Bridgewater Landing, Inc. (hereafter Bridgewater or Complainant), exports plastic scrap from the United States and ships its cargo under a service contract with Mitsui O.S.K. Lines Ltd. (Mitsui), a vessel-operating common carrier (VOCC). Bridgewater's buyer/consignee in China never accepted delivery of one shipment transported in January 2013 that arrived in Xingang in March 2013, and Mitsui ultimately sued Bridgewater in state court to collect accrued detention charges. Bridgewater alleges that Mitsui violated the

Shipping Act and state law by unreasonably delaying disposal of the unclaimed cargo and then suing to recover excessive charges.

The Administrative Law Judge (ALJ) dismissed the amended complaint with prejudice. Initial Decision (I.D.), Aug. 11, 2017. The ALJ determined that the Commission lacks jurisdiction over alleged violations of the Uniform Commercial Code (UCC) and state law and found no violation of the Shipping Act of 1984. Bridgewater moved to vacate the Initial Decision, and Mitsui has filed a reply.

The Commission denies Complainant's motion to vacate, and affirms the ALJ's decision dismissing the amended complaint with prejudice.

## **I. BACKGROUND**

### **A. Factual Background**

Bridgewater ships plastic scrap material from the United States to China under a service contract with Mitsui. I.D. at 2.<sup>1</sup> One of its shipments departed the United States bound for Xingang, China in January 2013. *Id.* Mitsui transported the shipment in a 45-foot container (MOEU0108835/3114896) under waybill MOLU26005510205 dated January 19, 2013. *Id.* Mitsui's waybill identified Bridgewater as the shipper and Tianjin Shanhai Jiafu Commercial Trade Co., Ltd. (Consignee)<sup>2</sup> as the consignee. Xingang was listed as the port of discharge and place of delivery, and the shipment arrived there on March 12, 2013. *Id.* at 2-3. Another shipment of plastic scrap departed the U.S. in February 2013 also bound for Xingang and to be delivered to the Consignee.

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<sup>1</sup>The Commission adopts the ALJ's findings (I.D. at 13-21). As addressed in the Discussion, any findings challenged by the Complainant are soundly supported by the evidence.

<sup>2</sup> The Consignee is not a party to this case. I.D. at 2 n.4.

*Id.* at 3. That shipment was transported in container MOEU0717549 under waybill MOLU26005510206 issued on February 22, 2013. *Id.*

Mitsui's service contract with Bridgewater spelled out the terms for delivery and disposing of unclaimed cargo. *Id.* at 3, 14-15. The service contract allowed 14 days free detention from the date of arrival at the destination port. *Id.* at 3. After 14 days, the consignee or shipper had another 30 days to take delivery of the cargo. *Id.* If the cargo was not picked up within 30 days, Mitsui had authority to dispose of the unclaimed cargo and could apply the sale proceeds to its outstanding charges. *Id.*

When the Consignee failed to take delivery of the January 2013 and February 2013 shipments, Mitsui requested Bridgewater's assistance. *Id.* at 3-4. The parties exchanged many emails, and Bridgewater agreed to contact the Consignee.<sup>3</sup> *Id.* In one email chain started in May 2013, Bridgewater used the subject line "long stay" and the January/February 2013 waybill numbers. *Id.* at 3. In its emails, Bridgewater advised Mitsui that the Consignee was reluctant to take delivery due to concerns that the plastic scrap would not clear Chinese customs. *Id.* at 3-4. Bridgewater explained that China had a "Green Fence" policy that restricted importing garbage material and claimed that the policy had caused "great confusion in the China plastic scrap market." *Id.*

At one point, Bridgewater found a Hong Kong buyer for the plastic scrap and asked Mitsui for an "economical rate" from Xingang to Hong Kong. *Id.* at 4. Mitsui replied that it could not arrange transportation directly to Hong Kong, but could route the January/February 2013 shipments through Busan, South Korea, for \$1,180 (plus \$405 in fees) for each container and the accrued detention/demurrage charges. *Id.* at 4. Bridgewater did not follow

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<sup>3</sup> Other shipments that departed the United States for China in early 2013 were picked up by the Consignee without undue delay. *See id.*

up and never booked transportation from Xingang to Hong Kong. *See id.* at 33-34.

Belatedly, the Consignee took delivery of the February 2013 shipment and Mitsui recovered the use of that container on June 27, 2013. *Id.* at 4. But the Consignee never took delivery of the January 2013 shipment. *Id.* That shipment remained at the Xingang port through January 2014, when Mitsui reminded Bridgewater of the outstanding charges. *Id.* at 4-5. Mitsui requested Bridgewater provide it with a letter of abandonment so it could dispose of the unclaimed cargo. *Id.* Bridgewater declined that request. *Id.* According to Bridgewater, the Consignee owned the cargo. *Id.* Upon learning that Bridgewater did not own the cargo, Mitsui had the container shipped to Hong Kong and disposed of the plastic scrap there. *Id.* at 5. The empty container came back to Mitsui on April 3, 2015. *Id.*

Mitsui invoiced Bridgewater for \$87,855.60 for detention, ocean freight, re-export, and disposal costs. *Id.* In April 2016, Mitsui filed a breach of contract action in New Jersey Superior Court seeking \$114,212.28 for accrued charges and attorney's fees and obtained a default judgment. *MOL (America), Inc. v. Bridgewater Landing Inc.*, No. MID-L-002082 (N.J.)

### **B. Procedural History**

In June 2016, Bridgewater<sup>4</sup> filed this small claims action under the Commission's Informal Procedures for Adjudication of Small Claims. 46 C.F.R. Subpart S. Am. Compl. at 1, Sept. 2, 2016. Bridgewater alleged that Mitsui violated the Shipping Act, the UCC, and state law by not declaring the cargo abandoned sooner, failing to mitigate the harm by minimizing detention charges, and suing to

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<sup>4</sup> Bridgewater is represented in this action by its owner, Jack Chiang. *Id.* at 2. Mr. Chiang is not an attorney, and the ALJ reviewed Complainant's filings under the liberal standard for pro se litigants. *See id.* (citing *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, 29 S.R.R. 1340, 1341-1342 (ALJ 2002)).

recover excessive charges. *Id.* It claims these actions violated 46 U.S.C. §§ 40503, 41102(a), 41102(c), 41104(2)(A), 41104(4)(D) and 41104(10), as well as UCC § 2-609. *Id.* Bridgewater seeks an order vacating Mitsui's demand for detention/demurrage charges and a determination that Mitsui's actions were unreasonable. *Id.*

Mitsui did not consent to informal small claims adjudication, and the claims were decided by an ALJ under 46 C.F.R. Subpart T. I.D. at 2 (citing 46 C.F.R. § 502.311). The parties exchanged briefs and submitted supporting documents. In May 2017, the ALJ sought further information from the parties and directed them to supplement the record. Order, May 4, 2017. Both parties submitted multiple additional filings. *See* Docket No. 1954(F) entries, June 12, 2017-July 12, 2017, Entry Nos. 25-30.

On August 11, 2017, the ALJ dismissed the complaint with prejudice. Bridgewater moved to vacate the Initial Decision on August 21, 2017, on the grounds that the ALJ erred in dismissing the § 41102(a) claim. Complainant's Request to Vacate Decision on Ruling of Violation of § 41102(a) of Docket No. 1954(F) (Mot. to Vacate),<sup>5</sup> Aug. 21, 2017. Mitsui replied to Complainant's motion to vacate on September 6, 2017. Respondent Mitsui O.S.K. Lines Ltd.'s Reply to Complainant's Request to Vacate the Initial Decision (Reply), Sep. 6, 2017.

## **II. DISCUSSION**

### **A. Standard of Review and Burden of Proof**

Parties challenging an Initial Decision that an ALJ issued under 46 C.F.R. Subpart T must provide grounds for review by asserting that "a material finding of fact or a necessary legal conclusion is erroneous or that prejudicial error has occurred." 46

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<sup>5</sup> Complainant's motion is subtitled "Request for Appeal of Decision Based on Pertinent Fact of Evidence Submitted to the Federal Maritime Court and Defendant for Consideration." Mot. to Vacate, 1.

C.F.R. § 502.318(a). The Commission reviews the ALJ's decision de novo. *DSW Int'l, Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012).<sup>6</sup>

Complainants bear the burden of proving that the Commission has jurisdiction to adjudicate their claims. *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff'd* 28 S.R.R. 751 (FMC 1999). They also bear the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth of N.Y. & N.J.*, 33 S.R.R. 821, 841 (FMC 2014); *DSW Int'l*, 32 S.R.R. at 765. To meet their burden of proof, complainants must show that their allegations are more probable than not. *DSW Int'l*, 32 S.R.R. at 765. The burden of proof never shifts to the respondents, and if the evidence is evenly balanced, complainants do not prevail. See *Waterman Steamship Corp. v. Gen. Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), *adopted in relevant part*, 26 S.R.R. 1424 (FMC 1994). Absent direct evidence, the Commission can rely on circumstantial evidence as long as the findings are grounded in more than speculation. *Id.* (citing *Dir., Office of Workers' Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 281 (1994)).

### **B. Complainant's Request to Vacate**

Bridgewater claims that the ALJ erred in dismissing the § 41102(a) claim and seeks an order vacating the Initial Decision and awarding the relief it originally sought. Bridgewater now asserts that Mitsui violated § 41102(a) by failing to provide a copy of the tariff before the detention charges accrued. *Id.* at 1. Mitsui challenges Complainant's motion as procedurally deficient for not

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<sup>6</sup> 46 C.F.R. § 502.318 does not define the standard of review. The Commission, has found, however, that the de novo standard of review for exceptions filed under 46 C.F.R. § 502.227 also applies to requests for Commission review filed under 46 C.F.R. § 502.318. *DSW Int'l*, 32 S.R.R. at 765.

complying with 46 C.F.R. §§ 502.227(a)<sup>7</sup> and 502.318, and also asserts that the ALJ's ruling dismissing the § 41102(a) claim should be affirmed. Reply at 2-4.

Section 41102(a) precludes “knowingly and willfully” through “false billing” or any other unjust means obtaining or attempting to obtain “ocean transportation for property” at rates lower than the charges “that would otherwise apply.” 46 U.S.C. § 41102(a). Complainant originally framed its § 41102(a) claim in terms of Mitsui's alleged failure to declare the cargo abandoned in a timely fashion and minimize detention/demurrage charges.<sup>8</sup> I.D. at 27. The ALJ dismissed that claim on the grounds that Complainant had not alleged or proved that Mitsui committed actions prohibited by § 41102(a)--obtaining or trying to obtain ocean transportation at lower rates. *Id.* In moving to vacate the ALJ's decision, Complainant redefines the § 41102(a) claim and now contends Mitsui violated § 41102(a) by not providing a copy of the applicable tariff in advance. Mot. to Vacate, 1.

Complainant's attempt to redefine the § 41102(a) claim must necessarily fail. Section 502.318 requires a request for Commission review to state grounds for reversing the ALJ's decision based on the claims and the record that was before the ALJ. *See generally* 46 C.F.R. § 502.318(a). A request for review is not a license to raise new claims or materially change the claims alleged in the pleadings. *See id.* Complainant's revised § 41102(a) claim is the sole basis for contending that the ALJ erred, and a newly-revised claim is not grounds for reversal.

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<sup>7</sup> Section 502.227 does not apply to formal small claims under Subpart T. *See* 46 C.F.R. § 502.321.

<sup>8</sup> This claim was not alleged in the amended complaint, but first asserted in Complainant's opening brief. I.D. at 27. Respondent addressed the claim and the ALJ properly treated it as tried by implied consent. *Id.* (citing 46 C.F.R. § 502.12).

Even if Complainant could belatedly revise its § 41102(a) claim to allege that Mitsui violated that provision by failing to provide the tariff terms, the claim would still fail under the ALJ's well-supported findings. In addressing claims other than the alleged § 41102(a) violation, the ALJ entered findings addressing the tariff and relevant terms referenced or duplicated in the service contract and waybill. *See* I.D. at 3, 14, 30.<sup>9</sup> The ALJ found that the service contract (USOOOIRR) incorporates the applicable tariff. *Id.* at 2, 30. Waybill MOLU26005510205 also states that by accepting the waybill, the shipper (Bridgewater), "acting on its own behalf and on behalf of the consignee, 'agrees to be bound by all the stipulations, exceptions, terms and conditions on the face and back of this waybill and the applicable bill of lading, or tariff, as referenced.'" <sup>10</sup> *Id.* at 3, 14. The ALJ also found that the bill of lading, waybill, service contract, and tariff were consistent in specifying that the shipment was entitled to 14 days of free detention time upon arrival at the Xingang port. *Id.* at 14. The bill of lading and service contract also specified that the shipper or consignee "had thirty days after expiration of the free detention time to take delivery of the cargo." *Id.* at 14-15. The ALJ's findings are inconsistent with Complainant's assertion that Mitsui failed to provide the tariff or with any contention that it did not receive notice of Mitsui's terms for cargo delivery and detention charges. *See id.*

And, finally, Complainant's revised allegations still fail to state a claim for violating § 41102(a). Complainant has failed to demonstrate how Mitsui's alleged refusal to provide it with the tariff prior to charging detention allowed Mitsui to "obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply." *See* § 41102(a). The detention

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<sup>9</sup> Mitsui submitted the waybill, bill of lading, service contract and tariff with its exhibits. *See* I.D. at 11 (listing Mitsui exhibits MOL 001-0025).

<sup>10</sup> The bill of lading also states that the shipper or consignee "shall be liable" to the Carrier for the payment of all Freight and/or expenses including but not limited to court costs, legal fee and expenses incurred in collecting monies due to the Carrier." *Id.* (citing MOL 008.)

charges were related to ocean transportation of property on behalf of Complainant, not Mitsui, and nowhere does Complainant allege that those charges were *less than* the charges that would otherwise have applied.

The Commission therefore affirms the ALJ's findings and dismisses the § 41102(a) claim with prejudice.

**C. Claims Not Addressed in the Request to Vacate**

As discussed above, the only claim addressed in Complainant's motion to vacate is the § 41102(a) claim. *See* Mot. to Vacate, 1-2. Under § 502.318, Complainant's other Shipping Act and non-Shipping Act claims were not presented to the Commission for review. *See* 46 C.F.R. § 502.318. Further if those remaining claims were presented to the Commission, the ALJ's grounds for dismissal are well supported. The ALJ dismissed the claims premised on UCC § 2-609 and the alleged deficiencies in Mitsui's state court collection action for lack of jurisdiction. I.D. at 25.<sup>11</sup> Those claims are clearly outside the Commission's jurisdiction and were appropriately dismissed for that reason. *See* 46 U.S.C. § 41301; *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874,884 (FMC 1994).

The ALJ dismissed the remaining Shipping Act claims on the grounds that Complainant failed to state a cause of action (§ 40503 claim) and failed to prove the violations alleged (§ 41102(c), § 41104(2)(A), and § 41104(4)(D) claims). I.D. at 26-34. The ALJ found that Mitsui's actions were consistent with the applicable tariff, the service contract, and the waybill, and rejected Complainant's assertion that Mitsui unreasonably delayed disposal of the unclaimed cargo and then collected excessive detention/demurrage fees. *See id.* at 26-30.

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<sup>11</sup> The ALJ also liberally construed Complainant's filings consistent with its pro se status. *See, e.g.* I.D. at 24-25.

**III. CONCLUSION**

THEREFORE, IT IS ORDERED:

That Complainant's motion to vacate be DENIED and the amended complaint be DISMISSED with prejudice.

By the Commission.

Rachel E. Dickon  
Secretary